

PRICE ACTION MADNESS

PART TWO!

Starting 1900 CT tonight



Theo**TRADE**

Goals for Tonight

- Continuing last week's "intro" session on price action
- Focusing on rules/structure for single timeframe price action
- Exercises
- Questions

1) The Single Timeframe Price Action Framework

Let's define "trend" again....

Three Different Trend States

- Uptrend
- Downtrend
- Chop/Trendless

Uptrend State

- A series of consecutive higher highs...
- And higher lows
- This gets broken if/when the price prints a “lower high”
- And changes polarity if the price then puts in a subsequent “lower low”

Downtrend State

- A series of consecutive lower highs...
- And lower lows
- This gets broken if/when the price prints a “higher low”
- And changes polarity if the price then puts in a subsequent “higher high”

Chop/Trendless

- An uptrend pulls into a “lower high”
- But does not print a “lower low”
- Or a downtrend pulls up a “higher low”
- But does not subsequently print a “higher high”

Once we identify the current trend we need to *anticipate* what would have to occur to make the price fall into a sideways trend, or reverse.

2) Uptrend Framing Example

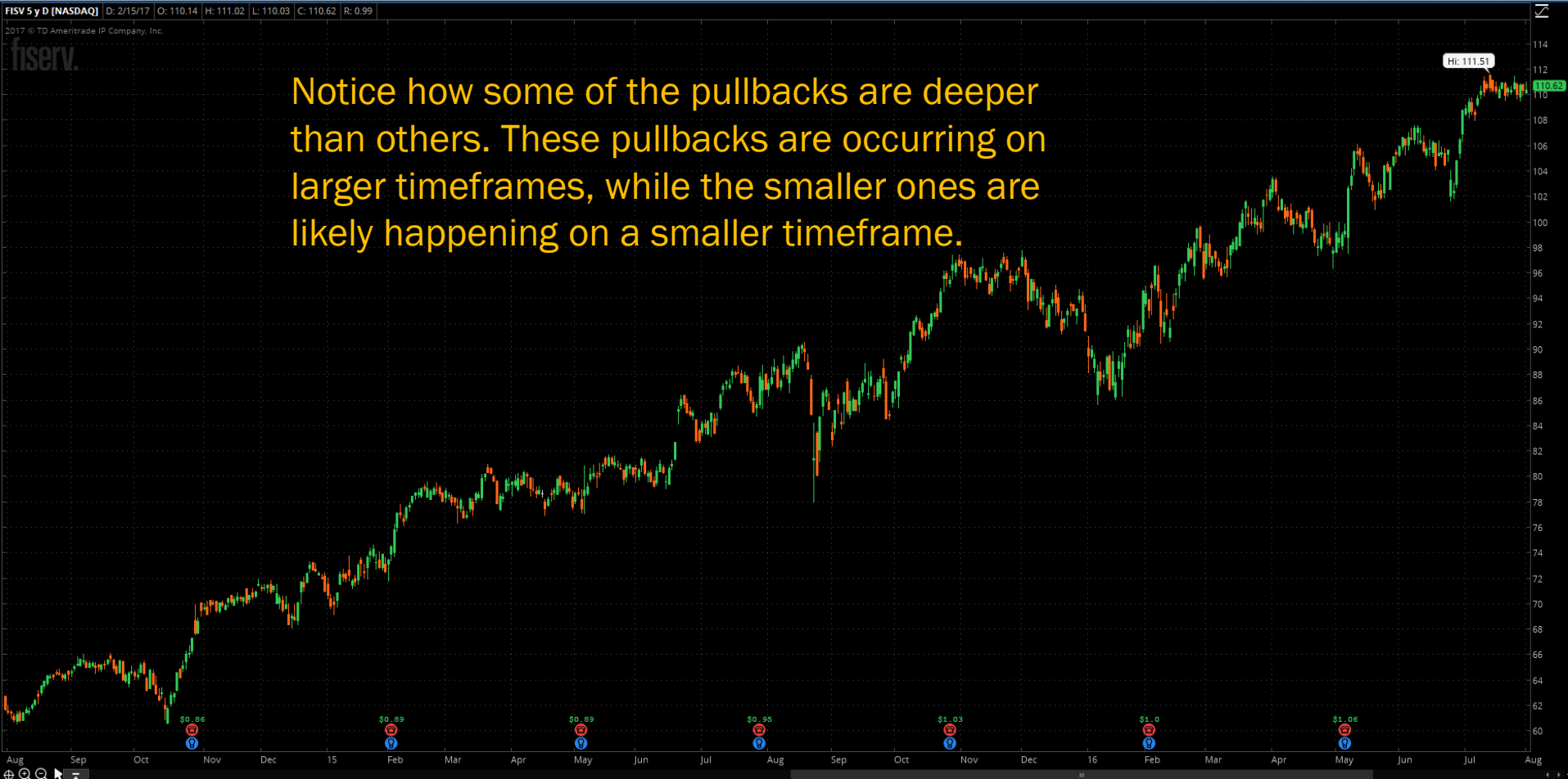


FISV 5 y D [NASDAQ] D: 2/15/17 O: 110.14 H: 111.02 L: 110.03 C: 110.62 R: 0.99

2017 © TD Ameritrade IP Company, Inc.

fiserv

Notice how some of the pullbacks are deeper than others. These pullbacks are occurring on larger timeframes, while the smaller ones are likely happening on a smaller timeframe.



FISV 5 y D [NASDAQ] D: 2/15/17 O: 110.14 H: 111.02 L: 110.03 C: 110.63 R: 0.99

2017 © TD Ameritrade IP Company, Inc.

fiserv.

See anything now? What might be happening?



FISV 5 y D [NASDAQ] D: 2/15/17 O: 110.14 H: 111.02 L: 110.03 C: 110.64 R: 0.99

2017 © TD Ameritrade IP Company, Inc.

fiserv.



FISV 5 y D [NASDAQ] D: 2/15/17 O: 110.14 H: 111.02 L: 110.03 C: 110.66 R: 0.99

2017 © TD Ameritrade IP Company, Inc.

fiserv.



FISV 5 y d [NASDAQ] O: 4/13/15 O: 78.98 H: 79.83 L: 78.76 C: 78.95 R: 1.07 Y: 116.32

2017 © TD Ameritrade IP Company, Inc.

fiserv.



FISV 5 y D [NASDAQ] D: 2/15/17 O: 110.14 H: 111.02 L: 110.03 C: 110.69 R: 0.99

© 2017 TD Ameritrade IP Company, Inc.

fiserv.



3) Downtrend Framing Example

CMGsy D: 12/26/12 O: 294.08 H: 294.98 L: 287.24 C: 289.03 R: 7.74 Y: 792.14

2017 © TD Ameritrade IP Company, Inc.

CHIPOTLE
MEXICAN BELL



CMG 5y D | D: 6/27/14 | O: 599.81 | H: 600.68 | L: 595.7 | C: 596.14 | R: 4.98 | Y: 755.1

2017 © TD Ameritrade IP Company, Inc.





/NQ 3 d 275t D: 2/15/17 1:52 PM O: 5291.25 H: 5292.5 L: 5291 C: 5291.75 R: 1.5

2017 © TD Ameritrade IP Company, Inc.





/NQ 3 d 275t D: 2/15/17 1:55 PM O: 5294.5 H: 5294.75 L: 5294.25 C: 5294.25 R: 0.5

2017 © TD Ameritrade IP Company, Inc.





/NQ 3 d 275t D: 2/13/17 1:44 PM O: 5258 H: 5258 L: 5256 C: 5256.25 R: 2 Y: 5268.73

2017 © TD Ameritrade IP Company, Inc.



Let's do some “hard right edge” on a live chart.

Questions?